

2. Countries whose bonds sold on a speculative basis: Argentina, Australia, Austria, Bolivia, Brazil, Bulgaria, Chile, China, Colombia, Costa Rica, Cuba, Czecho-Slovakia, Denmark, Dominican Republic, Esthonia, Finland, Germany, Guatemala, Greece, Haiti, Hungary, Japan, Yugoslavia, Mexico, Nicaragua, Panama, Peru, Poland, Rumania, Russia, Salvador, Uruguay.
3. Borderline countries: Belgium, Ireland, Italy, Norway, Sweden.

Of the five countries in the first or investment group, the credit of two, *viz.*, France and Great Britain, was considered speculative in the preceding depression of 1921–1922. Out of 42 countries represented, therefore, only three (Canada, Holland, and Switzerland) enjoyed an unquestioned investment rating during the twelve years ending in 1932.

Twofold Objection to Purchase of Foreign-Government Bonds. This evidence suggests that the purchase of foreign-government bonds is subject to a twofold objection of *generic* character: theoretically, in that the basis for credit is fundamentally intangible; and practically, in that experience with the foreign group has been preponderantly unsatisfactory. Apparently it will require a considerable betterment of world conditions, demonstrated by a fairly long period of punctual discharge of international obligations, to warrant a revision of this unfavorable attitude toward foreign bonds as a class.

Canadian issues may undoubtedly be exempted from this blanket condemnation, both on their record and because of the closeness of the relationship between Canada and the United States. Individual investors, for either personal or statistical reasons, may be equally convinced of the high credit standing of various other countries, and will therefore be ready to purchase their obligations as high-grade investments. Such commitments may prove to be fully justified by the facts; but for some years, at least, it would be well if the investor approached them in the light of *exceptions* to a general rule of avoiding foreign bonds, and required them accordingly to present exceptionally strong evidence of stability and safety.²

² The foregoing section relating to foreign-government bonds is reproduced without change from the 1934 edition of this work. War conditions existing in 1940 add emphasis to our conclusions. Note that at the end of 1939 the dollar bonds of only Argentina, Canada, and Cuba were selling on better than a 6% basis in our markets. (Certain Cuban bonds were selling to yield over 6%. Note also that Great Britain, Netherlands, Sweden, and Switzerland had no dollar bonds outstanding.) For data concerning foreign-bond defaults see various news releases and reports of Foreign Bondholders' Protective Council, Inc.